

Exhibit: Mathematical Review of Tax Shelter Status (IFA)

1. The Statutory Test (Section 237.1)

Under Section 237.1 of the Income Tax Act, an arrangement is technically defined as a tax shelter if, within the first four years, the total represented tax deductions equal or exceed the "net cost" of the investment. The test is applied at the end of each of those four years. If the deductions are equal to or greater than the Net Cost in any single year within that window, the arrangement is legally classified as a tax shelter.

2. Calculating the "Net Cost"

The "net cost" is the out-of-pocket cost of the investment minus any "prescribed benefits". Under the Income Tax Act, a loan is classified as a "limited-recourse amount" (and therefore a prescribed benefit) if there is no bona fide written arrangement to repay the principal and interest within a reasonable period not exceeding 10 years.

The IFA illustration explicitly states: *"Upon the death of the life insured, the life insurance proceeds are used to repay the bank loan"*. Because the debt is intended to be carried indefinitely until death, it is a limited-recourse amount.

- **Cost (Annual Premium):** \$2,042,590
- **Less Prescribed Benefits (Limited-Recourse Loan):** \$2,042,590
- **Total Net Cost:** \$0

3. Year-by-Year Mathematical Test

We can map this \$0 "Net Cost" against the exact tax deductions represented to the client in the "Taxation summary" table of the proposed IFA. The represented deductions combine the "Collateral insurance deduction" and the "Annual loan interest" (listed together as "Income required to use deductions").

Year 1:

Represented Tax Deductions: \$144,370 > Net Cost: \$0 → TAX SHELTER TRIGGERED.

Because the limited-recourse loan drives the net cost to \$0, demonstrating even \$1 of tax deductions triggers the statutory definition of a tax shelter. In the proposed IFA, the represented deductions exceed the net cost by \$144,370 in Year 1 alone. Therefore, the arrangement mathematically triggers the tax shelter definition at the end of Year 1.

Immediate financing arrangement

Date prepared: August 9, 2024

How the strategy works

The Immediate Financing Arrangement is a life insurance strategy that uses the cash surrender value (CSV) of an exempt permanent life insurance policy and additional assets, if required by the lender as collateral for a loan (either in the first year or the first several years of purchasing the life insurance policy). When premiums are paid and the cash value increases, loans are taken from qualified third-party lending institutions using the cash value as collateral. The loan proceeds are generally invested or used within a private corporation.

It is important to understand that this is a complex strategy and it is advisable to retain the services of an accountant or lawyer to determine the appropriateness of this strategy. This is not asset based lending and each loan will be reviewed to determine the credit worthiness of each applicant. Each lender will have their own criteria for underwriting. Review the “Lender Due Diligence” section of this illustration for additional information.

For this strategy, Wealth Select, pay to age 100 is the assumed Life Insurance policy.

This strategy generally follows one of two methods:

1. **Borrow the maximum allowed by the lender** using only the cash surrender value as collateral. Typically up to 90 per cent of the cash surrender value is available with a participating life insurance policy, or with a universal life insurance policy where cash surrender values are invested in fixed income accounts. The amount available will be less where cash surrender values are in equity-linked accounts.
2. Borrow, as above, plus pledge additional assets as collateral to replace the cash flow used to pay the premiums on a life insurance policy. Loan interest may or may not be capitalized (added to the loan), depending on the client's preference and the lender's terms. If the interest is not capitalized, the borrower is required to pay the interest charge (generally monthly, depending on the loan arrangements). This strategy, as presented, assumes interest is either paid or capitalized annually.*

The borrowed funds are used to earn income from business or income-producing investments so the interest expense may be deducted against taxable income. Also, a portion of the premiums may qualify for a tax deduction.² This strategy, as presented, assumes the borrower has sufficient income from other sources so the tax deductions can be applied against that income and the resulting tax savings are used to reduce the loan balance (where interest is capitalized) or the interest costs (where interest is paid annually).

Upon the death of the life insured, the life insurance proceeds are used to repay the bank loan and any remainder is paid to the beneficiary of the life insurance policy.

Personal information

Personally held:		
Insured person:	XXXX XXXXXX	XXXX XXXXXX
Age:	59	57
Sex:	Male Non-	Female Non-
Smoking status:	smoker	smoker
Risk class:	Standard	Standard

Assumptions

Taxation

Category:	Personal
Province:	Quebec
Tax rate:	53.31%

Permanent life insurance

Product:	Wealth Select, pay to age 100 Paid-up additions
Initial death benefit:	\$31,000,000
Initial annual premium:	\$2,042,590
Plan type:	Joint Last to Die (premiums to last death)

Bank loan assumptions

Loan rate 1:	7.00%
To policy year:	5
Loan rate 2 :	5.00%
Leverage ratio:	100.00%
Allow for additional collateral?:	Y
Total loan repayment commitment:	\$0
Year loan repayment begins:	0
Loan to be repaid over how many years?:	0
Interest:	Service the interest

Primary Example Summary

		Life insurance plan			Bank loan					Net values			Net death benefit internal rate of return (IRR)	
Year	Age	Premium	Cash surrender value	Total death benefit	Loan rate	Annual loan advance	Loan repayment	Outstanding loan balance	Additional collateral required	Net cash flow	Net death benefit	Loan to CSV %		
	1	58	\$2,042,590	\$1,775,351	\$34,871,142	7.00%	\$2,042,590	\$0	\$2,042,590	\$267,239	-\$66,018	\$32,828,552	115.05%	49627.03%
	2	59	2,042,590	3,764,680	38,744,915	7.00%	2,042,590	0	4,085,180	320,500	-\$131,600	34,659,735	108.51%	2093.80%
	3	60	2,042,590	5,886,264	42,643,715	7.00%	2,042,590	0	6,127,770	241,506	-\$196,812	36,515,945	104.10%	648.39%
	4	61	2,042,590	8,140,355	46,558,233	7.00%	2,042,590	0	8,170,360	30,005	-\$261,689	38,387,873	100.37%	331.94%
	5	62	2,042,590	10,527,750	50,481,599	7.00%	2,042,590	0	10,212,950	0	-\$326,090	40,268,649	97.01%	209.68%
	6	63	2,042,590	12,963,272	54,410,627	5.00%	2,042,590	0	12,255,540	0	-\$275,573	42,155,087	94.54%	148.40%
	7	64	2,042,590	15,469,056	58,342,206	5.00%	2,042,590	0	14,298,130	0	-\$319,868	44,044,076	92.43%	112.58%
	8	65	2,042,590	18,115,845	62,278,254	5.00%	2,042,590	0	16,340,720	0	-\$363,508	45,937,534	90.20%	89.49%
	9	66	2,042,590	20,876,408	66,220,209	5.00%	2,042,590	0	18,383,310	0	-\$406,451	47,836,899	88.06%	73.54%
	10	67	2,042,590	23,767,028	68,552,918	5.00%	2,042,590	0	20,425,900	0	-\$448,427	48,127,018	85.94%	61.23%
	11	68	0	24,765,020	68,280,106	5.00%	0	0	20,425,900	0	-\$444,673	47,854,206	82.48%	51.77%
	12	69	0	25,796,569	68,053,351	5.00%	0	0	20,425,900	0	-\$440,513	47,627,451	79.18%	44.46%
	13	70	0	26,813,575	67,872,141	5.00%	0	0	20,425,900	0	-\$435,933	47,446,241	76.18%	38.68%
	14	71	0	27,880,107	67,736,780	5.00%	0	0	20,425,900	0	-\$430,790	47,310,880	73.26%	34.02%
	15	72	0	28,967,594	67,648,215	5.00%	0	0	20,425,900	0	-\$425,029	47,222,315	70.51%	30.20%
	16	73	0	30,085,922	67,604,184	5.00%	0	0	20,425,900	0	-\$418,673	47,178,284	67.89%	27.02%
	17	74	0	31,226,965	67,603,168	5.00%	0	0	20,425,900	0	-\$413,838	47,177,268	65.41%	24.35%
	18	75	0	32,400,406	67,642,861	5.00%	0	0	20,425,900	0	-\$408,601	47,216,961	63.04%	22.09%
	19	76	0	33,599,538	67,724,415	5.00%	0	0	20,425,900	0	-\$402,933	47,298,515	60.79%	20.14%
	20	77	0	34,831,570	67,856,795	5.00%	0	0	20,425,900	0	-\$396,818	47,430,895	58.64%	18.47%
	21	78	0	36,134,565	68,047,891	5.00%	0	0	20,425,900	0	-\$390,257	47,621,991	56.53%	17.01%
	22	79	0	37,453,664	68,304,985	5.00%	0	0	20,425,900	0	-\$383,315	47,879,085	54.54%	15.75%
	23	80	0	38,822,681	68,627,988	5.00%	0	0	20,425,900	0	-\$375,912	48,202,088	52.61%	14.64%
	24	81	0	40,235,819	69,018,176	5.00%	0	0	20,425,900	0	-\$368,090	48,592,276	50.77%	13.66%
	25	82	0	41,705,807	69,476,339	5.00%	0	0	20,425,900	0	-\$359,946	49,050,439	48.98%	12.80%
	26	83	0	43,236,750	70,004,221	5.00%	0	0	20,425,900	0	-\$359,427	49,578,321	47.24%	12.03%
	27	84	0	44,781,525	70,602,818	5.00%	0	0	20,425,900	0	-\$360,422	50,176,918	45.61%	11.35%
	28	85	0	46,423,421	71,270,918	5.00%	0	0	20,425,900	0	-\$361,514	50,845,018	44.00%	10.74%
	29	86	0	48,092,549	72,007,828	5.00%	0	0	20,425,900	0	-\$362,694	51,581,928	42.47%	10.19%
	30	87	0	49,812,242	72,814,294	5.00%	0	0	20,425,900	0	-\$363,958	52,388,394	41.01%	9.70%
	31	88	0	51,574,487	73,690,499	5.00%	0	0	20,425,900	0	-\$365,300	53,264,599	39.60%	9.26%
	32	89	0	53,391,175	74,636,432	5.00%	0	0	20,425,900	0	-\$366,714	54,210,532	38.26%	8.85%
	33	90	0	55,262,535	75,650,848	5.00%	0	0	20,425,900	0	-\$368,191	55,224,948	36.96%	8.49%
	34	91	0	57,168,127	76,731,448	5.00%	0	0	20,425,900	0	-\$369,721	56,305,548	35.73%	8.16%
	35	92	0	59,138,155	77,875,342	5.00%	0	0	20,425,900	0	-\$371,294	57,449,442	34.54%	7.85%
	36	93	0	61,159,495	79,079,539	5.00%	0	0	20,425,900	0	-\$372,902	58,653,639	33.40%	7.57%
	37	94	0	63,211,590	80,341,518	5.00%	0	0	20,425,900	0	-\$374,534	59,915,618	32.31%	7.32%
	38	95	0	65,311,379	81,658,505	5.00%	0	0	20,425,900	0	-\$376,184	61,232,605	31.27%	7.08%
	39	96	0	67,426,277	83,028,960	5.00%	0	0	20,425,900	0	-\$377,846	62,603,060	30.29%	6.86%
	40	97	0	69,597,323	84,449,558	5.00%	0	0	20,425,900	0	-\$379,511	64,023,658	29.35%	6.66%
	41	98	0	71,822,313	85,917,325	5.00%	0	0	20,425,900	0	-\$381,174	65,491,425	28.44%	6.48%
	42	99	0	74,055,204	87,430,946	5.00%	0	0	20,425,900	0	-\$382,830	67,005,046	27.58%	6.30%
	43	100	0	76,338,258	88,987,957	5.00%	0	0	20,425,900	0	-\$384,475	68,562,057	26.76%	6.14%
	44	101	0	78,669,477	90,586,175	5.00%	0	0	20,425,900	0	-\$386,105	70,160,275	25.96%	5.98%
	45	102	0	81,031,117	92,223,512	5.00%	0	0	20,425,900	0	-\$387,716	71,797,612	25.21%	5.84%
	46	103	0	83,467,462	93,896,695	5.00%	0	0	20,425,900	0	-\$389,304	73,470,795	24.47%	5.70%
	47	104	0	85,959,745	95,601,858	5.00%	0	0	20,425,900	0	-\$390,865	75,175,958	23.76%	5.58%
	48	105	0	88,567,120	97,332,721	5.00%	0	0	20,425,900	0	-\$392,394	76,906,821	23.06%	5.45%

August 9, 2024

Taxation summary

August 9, 2024

Liquidation value details

		Repayment of loan				Disposition of policy costs				Total
			Assigned additional collateral disposed*	Outstanding loan balance	Excess (Shortfall) after surrender of policy and additional collateral**			Taxable amount on surrender	Tax on surrender of policy* (tax rate: 53.31%)	Net liquidation surplus (Net liquidation cost)*
Year	Age	Cash surrender value				Cash surrender value	Adjusted cost basis			
1	58	\$1,775,351	\$267,239	\$2,042,590	\$0	\$1,775,351	\$2,018,878	\$0	\$0	-\$267,239
2	59	3,764,680	320,500	4,085,180	0	3,764,680	4,027,389	0	0	-320,500
3	60	5,886,264	241,506	6,127,770	0	5,886,264	6,024,784	0	0	-241,506
4	61	8,140,355	30,005	8,170,360	0	8,140,355	8,010,260	130,095	69,354	-99,358
5	62	10,527,750	0	10,212,950	314,800	10,527,750	9,981,458	546,292	291,228	23,572
6	63	12,963,272	0	12,255,540	707,732	12,963,272	11,936,332	1,026,941	547,462	160,270
7	64	15,469,056	0	14,298,130	1,170,926	15,469,056	13,872,359	1,596,696	851,199	319,727
8	65	18,115,845	0	16,340,720	1,775,125	18,115,845	15,786,505	2,329,340	1,241,771	533,354
9	66	20,876,408	0	18,383,310	2,493,098	20,876,408	17,675,661	3,200,747	1,706,318	786,780
10	67	23,767,028	0	20,425,900	3,341,128	23,767,028	19,539,358	4,227,670	2,253,771	1,087,357
11	68	24,765,020	0	20,425,900	4,339,120	24,765,020	19,337,635	5,427,384	2,893,339	1,445,781
12	69	25,796,569	0	20,425,900	5,370,669	25,796,569	19,110,588	6,685,981	3,564,297	1,806,372
13	70	26,813,575	0	20,425,900	6,387,675	26,813,575	18,855,593	7,957,982	4,242,400	2,145,275
14	71	27,880,107	0	20,425,900	7,454,207	27,880,107	18,569,114	9,310,993	4,963,691	2,490,517
15	72	28,967,594	0	20,425,900	8,541,694	28,967,594	18,247,223	10,720,371	5,715,030	2,826,664
16	73	30,085,922	0	20,425,900	9,660,022	30,085,922	17,886,079	12,199,842	6,503,736	3,156,286
17	74	31,226,965	0	20,425,900	10,801,065	31,226,965	17,494,921	13,732,044	7,320,553	3,480,513
18	75	32,400,406	0	20,425,900	11,974,506	32,400,406	17,071,003	15,329,403	8,172,104	3,802,401
19	76	33,599,538	0	20,425,900	13,173,638	33,599,538	16,611,319	16,988,219	9,056,419	4,117,219
20	77	34,831,570	0	20,425,900	14,405,670	34,831,570	16,112,634	18,718,936	9,979,065	4,426,605
21	78	36,134,565	0	20,425,900	15,708,665	36,134,565	15,571,545	20,563,020	10,962,146	4,746,519
22	79	37,453,664	0	20,425,900	17,027,764	37,453,664	14,984,865	22,468,800	11,978,117	5,049,647
23	80	38,822,681	0	20,425,900	18,396,781	38,822,681	14,348,753	24,473,929	13,047,051	5,349,730
24	81	40,235,819	0	20,425,900	19,809,919	40,235,819	13,659,442	26,576,377	14,167,867	5,642,052
25	82	41,705,807	0	20,425,900	21,279,907	41,705,807	12,913,594	28,792,214	15,349,129	5,930,778
26	83	43,236,750	0	20,425,900	22,810,850	43,236,750	12,107,163	31,129,587	16,595,183	6,215,667
27	84	44,781,525	0	20,425,900	24,355,625	44,781,525	11,236,640	33,544,885	17,882,778	6,472,847
28	85	46,423,421	0	20,425,900	25,997,521	46,423,421	10,298,553	36,124,868	19,258,167	6,739,354
29	86	48,092,549	0	20,425,900	27,666,649	48,092,549	9,289,550	38,802,999	20,685,879	6,980,770
30	87	49,812,242	0	20,425,900	29,386,342	49,812,242	8,206,161	41,606,082	22,180,202	7,206,140
35	92	59,138,155	0	20,425,900	38,712,255	59,138,155	1,579,484	57,558,671	30,684,528	8,027,727
40	97	69,597,323	0	20,425,900	49,171,423	69,597,323	0	69,597,323	37,102,333	12,069,090
45	102	81,031,117	0	20,425,900	60,605,217	81,031,117	0	81,031,117	43,197,688	17,407,529
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* Ignores any tax triggered on disposing of assets (other than the policy) to repay the loan or taxes on the policy

** If shortfall, assets in addition to the collateral assigned may be required to repay the outstanding loan balance and tax on surrender of the policy

Summary

August 9, 2024

Taxation summary

August 9, 2024

Liquidation value details

Year	Age	Cash surrender value	collateral disposed*	balance	additional collateral**	Cash surrender value	Adjusted cost basis	surrender	53.31%)	(Net liquidation cost)*
1	58	\$1,763,587	\$279,003	\$2,042,590	\$0	\$1,763,587	\$2,018,901	\$0	\$0	-\$279,003
2	59	3,727,393	357,787	4,085,180	0	3,727,393	4,027,477	0	0	-\$357,787
3	60	5,808,204	319,566	6,127,770	0	5,808,204	6,025,037	0	0	-\$319,566
4	61	7,999,537	170,823	8,170,360	0	7,999,537	8,010,852	0	0	-\$170,823
5	62	10,300,364	0	10,212,950	87,414	10,300,364	9,982,674	317,689	169,360	-\$81,947
6	63	12,623,803	0	12,255,540	368,263	12,623,803	11,938,595	685,209	365,285	2,978
7	64	14,990,078	0	14,298,130	691,948	14,990,078	13,876,268	1,113,810	593,772	98,176
8	65	17,467,838	0	16,340,720	1,127,118	17,467,838	15,792,884	1,674,954	892,918	234,200
9	66	20,027,742	0	18,383,310	1,644,432	20,027,742	17,685,606	2,342,136	1,248,593	395,839
10	67	22,678,103	0	20,425,900	2,252,203	22,678,103	19,554,336	3,123,767	1,665,280	586,923
11	68	23,418,823	0	20,425,900	2,992,923	23,418,823	19,359,451	4,059,372	2,164,051	828,872
12	69	24,173,696	0	20,425,900	3,747,796	24,173,696	19,141,438	5,032,258	2,682,697	1,065,099
13	70	24,895,141	0	20,425,900	4,469,241	24,895,141	18,898,125	5,997,016	3,197,009	1,272,232
14	71	25,645,827	0	20,425,900	5,219,927	25,645,827	18,626,536	7,019,291	3,741,984	1,477,943
15	72	26,396,273	0	20,425,900	5,970,373	26,396,273	18,323,407	8,072,866	4,303,645	1,666,728
16	73	27,154,015	0	20,425,900	6,728,115	27,154,015	17,985,644	9,168,371	4,887,659	1,840,456
17	74	27,911,145	0	20,425,900	7,485,245	27,911,145	17,622,387	10,288,757	5,484,937	2,000,308
18	75	28,674,890	0	20,425,900	8,248,990	28,674,890	17,231,559	11,443,331	6,100,440	2,148,550
19	76	29,438,829	0	20,425,900	9,012,929	29,438,829	16,810,909	12,627,919	6,731,944	2,280,985
20	77	30,208,344	0	20,425,900	9,782,444	30,208,344	16,358,058	13,850,286	7,383,587	2,398,856
21	78	31,020,586	0	20,425,900	10,594,686	31,020,586	15,870,545	15,150,041	8,076,487	2,518,199
22	79	31,818,665	0	20,425,900	11,392,765	31,818,665	15,346,192	16,472,473	8,781,475	2,611,289
23	80	32,635,123	0	20,425,900	12,209,223	32,635,123	14,782,316	17,852,807	9,517,332	2,691,891
24	81	33,464,525	0	20,425,900	13,038,625	33,464,525	14,176,399	19,288,125	10,282,500	2,756,125
25	82	34,315,617	0	20,425,900	13,889,717	34,315,617	13,526,397	20,789,220	11,082,733	2,806,984
26	83	35,190,700	0	20,425,900	14,764,800	35,190,700	12,829,735	22,360,965	11,920,631	2,844,170
27	84	36,046,303	0	20,425,900	15,620,403	36,046,303	12,084,408	23,961,895	12,774,086	2,846,317
28	85	36,958,861	0	20,425,900	16,532,961	36,958,861	11,288,528	25,670,333	13,684,854	2,848,106
29	86	37,859,955	0	20,425,900	17,434,055	37,859,955	10,440,396	27,419,559	14,617,367	2,816,688
30	87	38,775,327	0	20,425,900	18,349,427	38,775,327	9,538,301	29,237,026	15,586,258	2,763,169
35	92	43,463,333	0	20,425,900	23,037,433	43,463,333	4,185,745	39,277,588	20,938,882	2,098,551
40	97	48,308,665	0	20,425,900	27,882,765	48,308,665	0	48,308,665	25,753,349	2,129,416
45	102	53,209,702	0	20,425,900	32,783,802	53,209,702	0	53,209,702	28,366,092	4,417,710

** If shortfall, assets in addition to the collateral assigned may be required to repay the outstanding loan balance and tax on surrender of the policy

Primary Example

Par Life Insurance purchased; no IFA established			Year	Par Life Insurance with Immediate Financing Arrangement		
Total cumulative premiums	Death benefit	IRR		Total cumulative cash flow required	Net death benefit ^	IRR
\$10,212,950	\$50,481,599	59.0%	5	\$982,209	\$40,268,649	209.7%
\$20,425,900	\$68,552,918	21.3%	10	\$2,796,035	\$48,127,018	61.2%
\$20,425,900	\$67,648,215	11.6%	15	\$4,972,972	\$47,222,315	30.2%
\$20,425,900	\$67,856,795	7.9%	20	\$7,013,835	\$47,430,895	18.5%
\$20,425,900	\$72,814,294	5.1%	30	\$10,699,370	\$52,388,394	9.7%

The total cumulative cash flow required is a summation of the actual out of pocket premium paid to purchase the insurance policy, less the loan proceeds and tax savings from the interest deduction and qualifying premium deduction, and adding any interest paid and any loan repayments made.

^ Death benefit remaining after payment is made to the lender to pay off the outstanding balance of the loan

All values set out above are for illustration purposes only. This summary is not complete without the full life insurance illustration and 'Immediate Financing Arrangement' pages. Review all material before making a decision.

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Reduced Example

Par Life Insurance purchased; no IFA established			Year	Par Life Insurance with Immediate Financing Arrangement		
Total cumulative premiums	Death benefit	IRR		Total cumulative cash flow required	Net death benefit ^	IRR
\$10,212,950	\$49,904,476	58.6%	5	\$982,171	\$39,691,526	208.6%
\$20,425,900	\$66,181,825	20.7%	10	\$2,795,495	\$45,755,925	60.1%
\$20,425,900	\$62,785,197	10.8%	15	\$4,970,003	\$42,359,297	28.8%
\$20,425,900	\$60,161,038	7.1%	20	\$7,003,794	\$39,735,138	16.9%
\$20,425,900	\$57,919,672	4.1%	30	\$10,554,652	\$37,493,772	7.8%

The total cumulative cash flow required is a summation of the actual out of pocket premium paid to purchase the insurance policy, less the loan proceeds and tax savings from the interest deduction and qualifying premium deduction, and adding any interest paid and any loan repayments made.

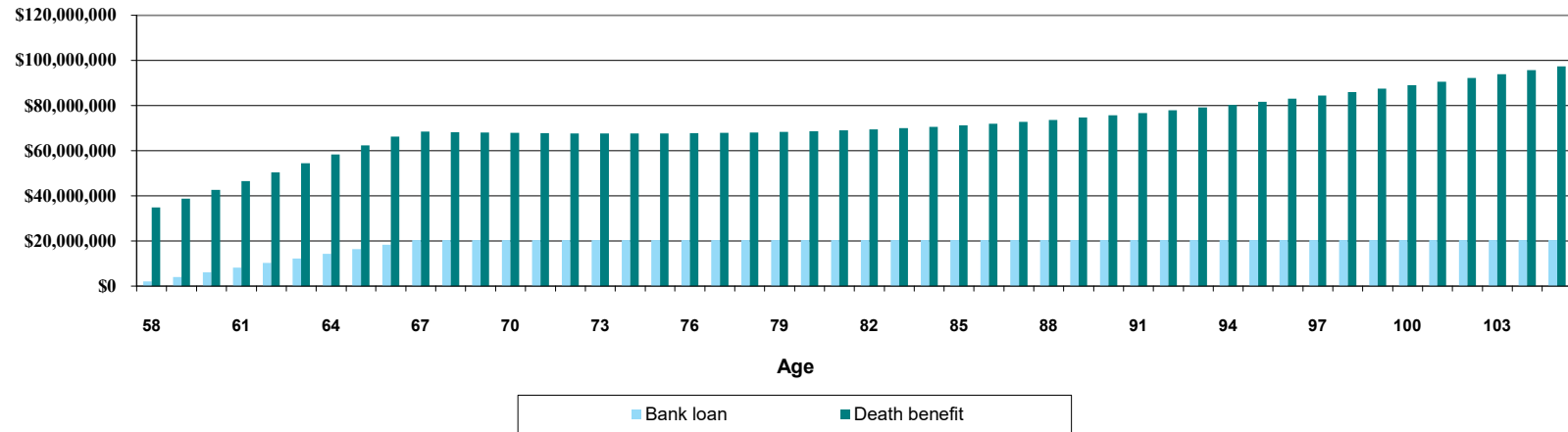
^ Death benefit remaining after payment is made to the lender to pay off the outstanding balance of the loan

All values set out above are for illustration purposes only. This summary is not complete without the full life insurance illustration and 'Immediate Financing Arrangement' pages. Review all material before making a decision.

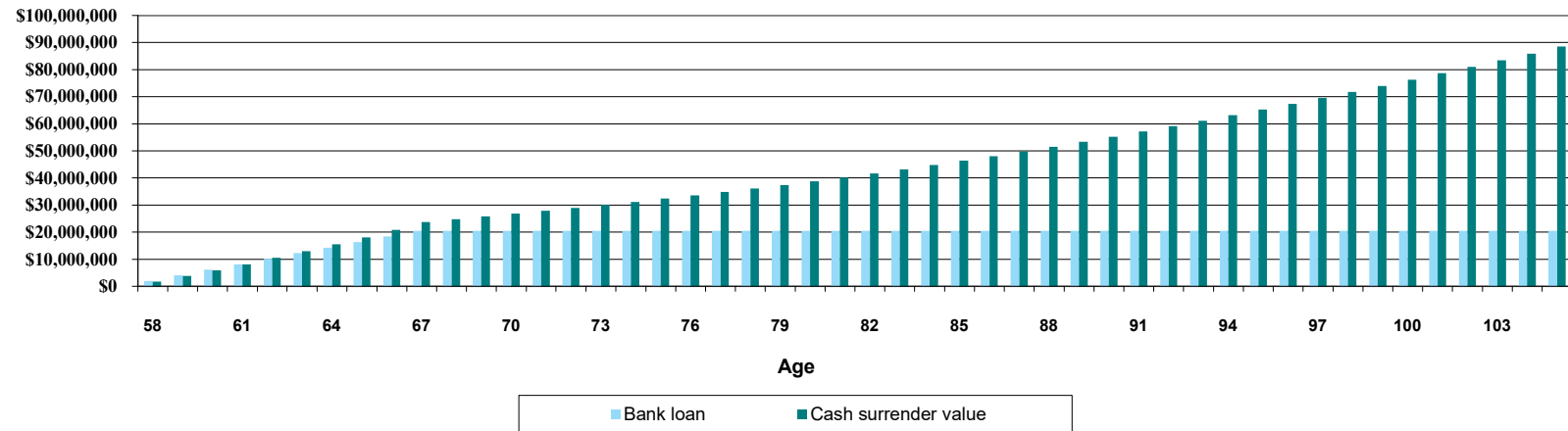
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Primary Example

Immediate collateral loan - Bank loan to Death benefit



Immediate collateral loan - Bank loan to Cash surrender value



Lender Due Diligence

While it is important to understand that the issuance of a life insurance policy from Canada Life is completely separate from the lending side of this strategy the following provides information of lenders and sets expectations on what these lenders will typically require for their own due diligence.

This is a strategy intended for large premium paying policies. Although, each lender will have different minimum requirements for this type of lending arrangement, most lenders will require approximately \$500,000 of loan balance over the first three years of the policy.

These structures are not considered asset based lending programs. Each client must qualify for the amount of financing being applied for and must demonstrate that they (or the guarantor) can expect to afford the interest payment. Each lender will adjudicate each loan based on a borrower's credit worthiness. The 5 C's can often be used to help better understand this idea:

Capital	Does size of loan (or future loan) make sense relative to client's net worth
Capacity	Is the ability to service the interest payments clear from reliable/sustainable sources
Collateral	Is the loan appropriately secured
Credit History	Client's repayment history is good
Character	Client's background

The following is a list of personal and financial documentation that clients may be required to provide to the lender to determine the appropriateness of the loan. Each lender will have their own requirements so this should not be considered a complete list and other information could also be required.

- Policy details including insured, owner, face amount, premium etc
- Personal Net Worth Statement
- 2 Year notice of assessment
- Investment Account Statements
- 3 years worth of financial statements for corporations
- Corporate family tree

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Concept presentations are not contracts and are not guaranteed. Therefore, to help you make a more informed purchase decision we have provided the following information:

1. Life insurance shouldn't be purchased based solely on a future opportunity to collaterally assign the policy to obtain loan advances from third-party lending institutions.
2. This information is general in nature and for educational purposes only and should not be construed as tax or legal advice. It was prepared based on the laws of Canada and their interpretation at that time, as they apply to Canadian life insurance policies and tax residents of Canada. It is accurate to the best of our knowledge at the date of publication. However, laws and interpretations may change. Any insurance policy used as an example is assumed to be validly in force, with all premiums paid when due and its cash value within prescribed limits so as not to attract accrual tax.
3. For the purposes of this presentation it has been assumed that interest on the bank loan is fully deductible on an annual basis and the borrower can claim the collateral insurance deduction. The Income Tax Act and the relevant provincial Income Tax legislation provide the framework for determining deductibility of these expenses. If the interest is not deductible the benefit of this arrangement will be reduced or eliminated.
4. The Department of Finance has released draft legislation that would impose a reasonable expectation of profit test. This test requires that there must be a reasonable expectation that the business or property in respect of which the expenses (including loan interest and the collateral insurance deduction) were incurred will generate a cumulative profit. If this test is not met, expense deductions will be permitted up to the income generated by the particular business or property. The impact of these proposals on this presentation should be specifically considered.
5. For the purposes of this presentation assumptions have been made regarding the loan; including the amount and timing of advances, the duration of the loan, and the loan interest rate. The actual terms and conditions of any loan which may be negotiated are not guaranteed by this presentation. If actual results differ from the presented values, servicing of the bank loan may be required or the available loan advances may be reduced. When making arrangements with the lending institution for a loan or line of credit, there may be fees or costs associated with such a transaction. Such fees are not part of this presentation and are separate from the numerical analysis provided.
6. Collateral loans magnify risk and should generally only be considered by a sophisticated investor with high risk tolerance, and access to professional advice from an advisor, lawyer and accountant. They should also have sufficient other capital to cover interest payments or the potential tax liability should it be necessary to surrender the policy and repay the loan. It's important to understand all of the circumstances under which the lender could demand repayment of the loan. For example, the lender could demand repayment if the loan exceeds, or is close to exceeding, the maximum percentage of collateral that the lending institution requires. This is more likely to occur when loan interest is capitalized.
7. This presentation assumes the loan interest rate may change only once over time. The presentation does not reflect the impact of possible short term rate fluctuations on the amount of interest payable.
8. The Insurance product benefits illustrated MAY or MAY NOT be achieved depending on whether actual experience conforms to the assumptions made in the preparation of the product illustration including the amount and timing of payments into the policy, interest rates, dividend scales, inflation and taxes. Dividends are not guaranteed and vary up or down from those illustrated, depending on future dividend scales. If actual results are less favourable than illustrated product values, additional payments into the policy may be required to maintain the level of product benefits and hence the level of loan advances illustrated herein. Please refer to the product illustration(s) with respect to limitations on policy values and guarantees.
9. Assumptions are made regarding life expectancy. Please be aware that interest will continue to be payable each year should you live beyond the assumed age of life expectancy.
10. Please be aware you can request additional presentations with different insurance products, tax, and loan rate assumptions to demonstrate the sensitivity of the Immediate Finance arrangements to changes in these assumptions.
11. It is advisable to retain the services of an independent professional advisor to consider the above issues and the overall viability of the of the Immediate Finance Arrangement to changes in these assumptions.
12. The examples provided aren't complete without the Canada Life illustration, including the cover page, reduced example and product features pages all having the same date. Read each page carefully as they contain important information about the policy.
13. An exempt life insurance policy is defined in regulations 306 and 307 of the Income Tax Act. Generally, the Income Tax Act provides that the cash value accumulation is exempt from annual accrual taxation, provided certain conditions, as set out in the regulation, are met.

Important considerations

- 1 At this time, Canada Revenue Agency (CRA) indicates if interest is capitalized, compound interest must be paid to be deductible. It may be arranged to borrow an amount equal to the paid interest to reinvest to obtain further deductibility. CRA can change its position at any time, so interest deductibility cannot be guaranteed.
- 2 Eligible premiums, for purposes of the deduction, cannot exceed the lesser of the net cost of pure insurance or the premiums payable. Net cost of pure insurance represents the yearly cost of insurance and is calculated by the insurer using prescribed rates set out in the tax regulations. The amount reasonably considered to relate to the balance of the loan is deductible.

For Quebec income tax purposes investment expenses (which includes interest on loans that were used to purchase non-registered investments) are only deductible up to the actual amount of taxable investment income earned during a particular year. Investment expenses in excess of the taxable investment income in a year may be carried back three years or carried forward indefinitely to offset taxable investment income.

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